

complaint

Mrs H's complaint about U K Insurance Limited (UKI) concerns how UKI dealt with a buildings insurance claim in around 2011. And Mrs H is also unhappy with the renewal premium UKI has charged.

background

Mrs H has given us details of an escape of water problem in a property that she owned (but didn't live in at the time). UKI objected to us looking into its conduct around the handling of the claim. This was on the basis that it had issued a final response letter to Mrs H in August 2015. And as Mrs H didn't bring her complaint to us until July 2017, the complaint had been referred outside of the six months time limit set out in the Financial Conduct Authority's rules.

Our investigator didn't think we could look at this part of Mrs H's complaint. She explained that Mrs H had clearly referred her complaint to us after the six month limit. The investigator said we can look at complaints referred outside of the time limit but this was only where there were 'exceptional circumstances'. But there were no exceptional circumstances apparent that prevented Mrs H bringing her complaint to us in time.

The other part of Mrs H's complaint was about the cost of her policy. Between 2012 and 2017 the price had risen by almost £300. UKI explained that the cost had increase because the property had been unoccupied year after year. UKI said that unoccupied properties present increased risks, not least those experienced by Mrs H with an escape of water over a period of time, and the price reflected that additional risk. UKI showed us that had the property been occupied the premium in 2017 would have been more than £350 cheaper.

The investigator was satisfied UKI had demonstrated that the price charged reflected how it rated the risk presented by a property being unoccupied over a number of years. So she didn't think UKI needed to do anything further. And the investigator explained that any issue with an insurance broker or other company involved needed to be referred to those companies so they could look at Mrs H concerns. A further complaint was set up by us against a different financial business.

Mrs H disagreed with the investigator. In summary, she thought we should look at her complaint about the claim as she brought it in time. And the price UKI charged wasn't fair.

my findings (about whether Mrs H brought her complaint about the way UKI handled her claim in time)

The relevant rules applying to our service (DISP Dispute Resolution – available online in the Financial Conduct Authority's handbook) don't allow us to consider every complaint brought to us. The rules set out various periods of time that we are bound to take notice of when considering whether we can look into a complaint. Dispute Resolution rule 2.8.2R says:

The Ombudsman cannot consider a complaint if the complainant refers it to the Financial Ombudsman Service:

- (1) more than six months after the date on which the respondent sent the complainant its final response, redress determination or summary resolution communication;*

unless:

(3) in the view of the Ombudsman, the failure to comply with the time limits...was as a result of exceptional circumstances;

UKI sent its final response to Mrs H on 24 August 2015. So she had until 24 February 2016 to refer her complaint to us. But Mrs H didn't refer her complaint to us until July 2017, so her complaint was referred out of time under the rules I must apply.

I am however allowed to investigate complaints referred outside the usual time limits where I'm satisfied the failure to comply with the time limits was because of exceptional circumstances. But I'm not persuaded that exceptional circumstances apply in this case.

Mrs H has explained that the complicated nature of what happened regarding the water leak and the various companies she was dealing with were exceptional. And she'd also been in touch with us about the matter in 2015.

Whether the circumstances surrounding the claim and state of the property were complicated (or not) doesn't persuade me that there were exceptional circumstances that delayed Mrs H referring her complaint to us. UKI's final response clearly set out the time limit for Mrs H and I've seen nothing that persuades me there are exceptional circumstances in play here.

Mrs H is correct that she made contact with us in 2015 but this was before UKI had looked into her complaint. We sent details of the complaint to UKI and it later sent Mrs H a final response letter. The time limit started from the final response date and UKI made that clear. And as Mrs H didn't come to us within six months of the final response, and there aren't any exceptional circumstances that prevented her bringing her complaint in time, I can't look at any issues to do with the claim or the way it was handled.

my decision

I'm unable to consider Mrs H's complaint about the way U K Insurance Limited handled her insurance claim because it was referred to us too late. And I'm not persuaded that the failure to comply with the time limits was because of exceptional circumstances.

my findings about the price increase aspect of the complaint

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this part of Mrs H's complaint.

UKI has explained that it charges more to insure an unoccupied property. Mrs H's property had been unoccupied for a number of years. And UKI has shown the difference in price between the two states of being occupied and unoccupied. I'm satisfied that UKI has demonstrated that it treated Mrs H fairly in the way it priced her insurance policy. Had the property been occupied the difference was substantial. The fact that UKI decides to charge more for unoccupied properties is a matter for it – UKI has shown us that it treats all unoccupied properties in a similar way because the fact they are empty increases the risk of loss or damage to the property.

my final decision

I don't uphold Mrs H's complaint about the way U K Insurance Limited priced her insurance policy.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs H to accept or reject my decision before 26 April 2018.

Sean Hamilton
ombudsman